TIP859: Mercado Libre ($MELI): We Doubled Down on Meli w/ Daniel Mahncke & Shawn O'Malley

Podcast: we study billionaires

AI Executive Summary

Core Thesis

The episode delves into the investment thesis of MercadoLibre (Meli), a leading e-commerce and fintech company in Latin America. The hosts, Sean O'Malley and Daniel Menke, revisit the company's performance and explore the competitive landscape, particularly with Shopee, a subsidiary of Sea Limited, and the broader e-commerce and fintech market in South America. The core thesis is that despite the intense competition and margin pressures, MercadoLibre's flywheel effect, strong ecosystem, and robust growth potential make it a compelling investment opportunity. The hosts also discuss the valuation and the potential for long-term earnings growth, emphasizing the importance of the fintech segment, which is expected to drive profitability.

Key Arguments & Data

- **Flywheel Effect**: MercadoLibre's business model is compared to Amazon's, highlighting the self-reinforcing nature of its marketplace, payments, and credit services. The hosts argue that the ecosystem's strength makes it difficult for competitors to displace MercadoLibre.
- **Competitive Landscape**: Shopee's entry into Brazil is discussed as a significant threat, but the hosts maintain that MercadoLibre's entrenched customer base and diversified revenue streams provide a competitive advantage.
- **Growth and Margins**: The company's revenue growth is highlighted, with a focus on the 50% revenue growth in the first quarter and the 45% growth forecast for 2026. The hosts discuss the margin compression, attributing it to investments in logistics, credit, and free shipping, rather than competitive pressure.
- **Fintech Segment**: MercadoPago and MercadoCredito are emphasized as key drivers of future profitability. The hosts note that these segments are growing faster than commerce and are expected to reach a similar size by 2030.

- **Valuation**: The valuation model suggests a fair value of around $3,000 per share, with a 20% margin of safety. The hosts argue that the growth prospects and the long-term runway make the company attractive, even with current margin pressures.
- **Political and Economic Environment**: The hosts discuss the political landscape in Brazil, noting that MercadoLibre has performed well under both left-leaning and right-leaning governments. They emphasize the company's management's ability to navigate volatile political environments.

Competitive Analysis

- **MercadoLibre vs. Shopee**: Shopee is seen as a significant competitor, particularly in the lower-end market. However, MercadoLibre's ecosystem and logistics network are highlighted as key advantages.
- **MercadoPago vs. PIX**: The government-led payment network PIX is discussed as a potential threat, but the hosts argue that MercadoPago's dominant position and ecosystem benefits provide a competitive edge.
- **Market Size and Entry Barriers**: The hosts compare the market size of Brazil to China and the US, noting that while the market is growing, it is not as large as some might expect, making it challenging for new entrants.

Investment Strategy

- **Growth and Reinvestment**: The hosts argue that MercadoLibre's growth strategy, involving significant reinvestment in logistics, credit, and free shipping, is a long-term investment that will pay off.
- **Margin Compression**: The margin compression is attributed to investments and not competitive pressure, with the hosts noting that the company is not cutting take rates to undermine competitors.
- **Customer Acquisition and Retention**: The hosts discuss the effectiveness of MercadoLibre's strategies, such as lowering free shipping thresholds and offering discounts, in acquiring and retaining customers.

Conclusion

The episode concludes by reiterating the hosts' belief in MercadoLibre's long-term growth potential and the attractiveness of the investment despite current margin pressures. The hosts emphasize the importance of owning a well-run business with a strong flywheel effect and robust growth prospects, even in a volatile political and economic environment.

Full Transcript

You're listening to TIP. Welcome back to the Investors Podcast, episode 859. And in our last episode, Sean, I pitched McDonald's to you, which is one of the best known brands in the world, but it is also currently in a historic drawdown despite the business still doing quite well. Today's company is far less known globally, although I would say that investors all over the world know it quite well. And most people probably know it as the South American Amazon. And we already know from your original episode that there is some truth to that, but they also differ in some pretty important aspects. They do, but I like it as much, maybe even a bit more than Amazon. It's not as safe of a bet, but the payout might be even better. And speaking of which today, we want to take another look at what happened to MercadoLibre. That's the company we discussed since we last pitched it. And since we also added it to the portfolio and we just want to see how the thesis has been playing out. And we just increased.

the weighting of Mercado Libre in our intrinsic value portfolio from 5% to 7%. And we did that in one of our recent live stream portfolio reviews, which you can find the link to in the show notes below. But that now makes Mercado Libre our fifth largest position. So it's a perfect time to revisit the thesis. Since 2014, with more than 200 million downloads, we have interviewed the world's best investors. studied deeply the principles of value investing, and uncovered many compelling investment opportunities. We focus on understanding businesses and intrinsic value, investing accordingly, and sharing everything we learn with you. This show is not investment advice. It's intended for informational and entertainment purposes only. All opinions expressed by hosts and guests are solely their own, and they may have investments in the securities discussed. Now for your hosts, Sean O'Malley and Daniel Menke. What's interesting is that Mercado Libre has been your starting point to cover really a whole number of e-commerce companies. And of course, you pitched Amazon as your first, but I think Melly gave you a different appreciation for really the flywheel effect of marketplaces, especially when combined with payments, credit and logistics and advertising and all these other things. And after Melly, you covered C Limited, which I believe also made it into your

personal portfolio. And then There's another company, Caspi, which I think might have also made it in your personal portfolio. Yeah, I think it's safe to say I very much like how these businesses work together and also reinforce each other. And yes, I do own C-Limited in my personal portfolio. I looked very smart when I first bought it at about 70 and then went up to 130. So I thought this is a fantastic investment. Now I got to say it's back in the 70s. So I don't look as smart anymore.

And I haven't yet broadcasted it, but I might eventually do so too, because it's a fantastic company. And we will actually talk to management and our community soon. So the last couple of questions that I have, we might be able to ask them at that point. And then Amazon, which is another one of those companies, to me, it's just a bit of a different business, primarily because you don't have the same flywheel effects, because the marketplace is just not as connected to the other parts of the business. So Amazon's flywheel is primarily based on Nick Sleep's concept of scale economies shared, the model that we often discussed in the past. Well, sort of the mythology behind the idea of the flywheel is that it was actually written down on a napkin by Jeff Bezos in the early days of Amazon. I don't know. Is that even true? That's how the legend goes. You know, I see these photos. I don't know if they're actually 100% accurate. And whenever I hear about something written down on a napkin, I immediately think about Messi. That story might not land as well with our North American listeners, but back when a young Lionel Messi, who is the best football player of all time, and I don't go into any debate about that, He was trying out at Barcelona's Legendary Youth Academy and the scouts there were so impressed. They wrote basically the first contract of Messi on a napkin to make sure that there is no other team snapping him up because he was still looking out for some other teams in Spain. And that napkin was actually sold at an auction, I think just a couple of years ago for about a million dollars. But that's a totally different story. I sometimes digress talking about football. Back to Amazon and its self-reinforcing cycle.

So the entire idea is that Amazon uses cost savings derived from obviously scale to then lower prices, which improves convenience for people who buy there. And then also they invest that money into logistics, which then again leads to faster shipping and it's just a much better offering for all the people

buying on Amazon. And then in turn, that attracts more shoppers and more shoppers also lead to more volume and then obviously scale. And that is how you have this flywheel starting to spin. And then from the merchant side, high traffic on Amazon attracts outside merchants and brands to offer their products in Amazon and use their logistics network for fulfillment. And the more merchants Amazon attracts, the better the variety of products and then the better the prices become because of increased competition. And thus, it becomes more valuable for buyers again. And it really is one of the most beautiful flywheels out there, perhaps rivaled only by our favorite Uber.

Well, there's not one episode where we won't talk about Uber. It doesn't matter which company we actually cover. I would actually argue though, it gets a bit more beautiful. And that's when you combine that marketplace flavor we just talked about with payments and credit. I know you don't like payments standalone, but here I think it's quite powerful. So Amazon basically depends heavily on advertising dollars. And as we've talked about plenty of times recently, that business seems at least much more uncertain than let's say six months ago. And Mali's profit driver comes from its payment and credit arm. So not yet from advertising. I would say that advertising is still a great opportunity for them, but there's no dependence on that yet, at least not to the same extent as Amazon is experiencing it. And I don't see how payments or credit would be disintermediated through AI or agents. And in fact, it might yet actually turn into another advantage looking out for the next five to 10 years. It comes with its own risks, but perhaps we start there just because it is such an important topic for Melly.

And so let me ask you, I mean, has anything changed in terms of how you think about Mercado Pago or Mercado Credito and the Melly thesis here? That was a very good pronunciation. I almost thought you were Brazilian for a moment here. I would say if anything, I'm just more bullish, but just to give some background, especially for listeners who didn't listen to the first episode. So Mercado Pago and Mercado Credito are why they're so powerful for the flywheel, right? So what Mercado Pago is doing, it's basically the payments arm for MercadoLibre. And people often compare to PayPal. I think we might need to choose something else eventually as a comparison, since that might not be a compliment for much longer. Maybe

it has stopped being a compliment for quite some time already. Paint pal. Paint pal. You know, that's not what you want to be compared to. I think if you're a striving business as Mercado Power is, and basically what they do is they make money through online checkout and QR codes and so forth. And they also have these point of sales devices in physical stores. It's a very small part of how they actually make money.

but at least they get some dominant market share in parts of the market that they don't have on the marketplace, so on Mercado Libre. And what they do is that they take a small fee per transaction. And now we actually see that Mercado Pago processes more volume off Mellie's marketplace than on it. And I think that's a very important step in the evolution of Mercado Pago, because initially it was created to basically enable more people to order online on Mercado Libre. So it was a clear extension of the marketplace firewall. So you had buyers in Latin America, that didn't trust the product would actually arrive and then sellers didn't trust that they would actually get paid when they send out the product. So then Pago basically sat in the middle and held the money until both sides were happy. And Mercado Pago could offer great deals for shoppers. So it made a lot of sense for Mercado Libre customers to use Mercado Pago and Pago customers in turn shopped more often on Mercado Libre because of the offer. So it was a great engine for customer lock-in and And then with scale, Pago also turned into a really important data aggregator. And so a seller who lists on Melly gets paid through Mercado Pago. And once Melly knows how much that seller sells, how seasonal their business is, and how reliably they ship their products, it can offer them a working capital loan to help them buy more inventory.

The seller uses that loan to stock up and sells more on MercadoLibre and then the data gets better and then you have more supply and it lowers prices. And it's all again, part of this flywheel that is very, very strong for MercadoLibre. And on the buyer side, when, for example, you're at checkout, Melly can offer you a Mercado Pago credit card or even an installment plan right there, which in Brazil, that's how a lot of people pay with using these installments whenever they check out. And that offer directly improves conversion, obviously, and then More conversion means more GMV and then more GMV means you get now even more data than you had before and the data makes the next credit decision even better. So

then basically the customer acquisition engine is driving down in costs where in the end, your customer acquisition cost is essentially zero. And by now, Mercado Pago is the sixth largest credit card issuer in Brazil. And as you said, so-called ecosystem customers, so basically customers that use Pago and Mercado Libre instead of just one of them.

generate about 70% more GMV than someone who only shops on Mercado Libre and about 90% more payment volume than someone who only uses Mercado Pago. So the share of those users, the ones that use both, has actually increased eight percentage points since the end of 2023. And that's the flywheel of Pago off the marketplace and on the marketplace. Well, you mentioned GMV. And so just to clarify, stands for gross merchandise value and refers to everything sold. on the platform, all the transaction, the total transaction value of the commerce that Mercado Libre facilitates, not necessarily the revenue that it takes. And another term that we're going to be using a lot today is flywheel. And I think we might even use it at a record breaking rate. It seems like we can't stop saying it. We might, but I would say it's not our fault. Melli is just incredibly good at building them and perhaps we can call it a mix of a network and scale effect for the part outside of the marketplace. So how Parvo basically works off the marketplace is that You have a small shop in, for example, Sao Paulo or Mexico City that puts a Mercado Pago point of sales device on the counter or just prints a QR code. And Mali actually has a lot of these devices. Again, they don't make a lot of money from it because it's a very low margin business, but it helps them expanding the business. So for example, in Mexico alone, you have 1.4 million of these devices. And now that those shops sales basically flow through Mercado Pago, Mali can also lend to a merchant that has never sold anything on Mercado Libre.

because it still sees all the shops actual daily revenue. And then once you as a consumer pay at your local corner store with Mercado Parco, it only makes sense for you to also keep money in the wallet because Mercado Parco is actually paying your return. And that matters a lot, especially in these countries where usually inflation is quite high and needs to weigh your savings. And it's also why assets under management are now 23 billion. And that's up almost 70% in a year. So incredible growth there at basically every part of the business. Again, once your money's in the app,

you basically pay your bills through it, you send money to friends, and you also use the card for things that have nothing to do with e-commerce. So imagine groceries, maybe gas, or just going out regularly. And I think the data advantage of the off marketplace use is that Mercado Libre now has a complete picture of someone's financial behavior. And so we talked about how people are more likely to repay Meli loans.

because they don't want to lose access to the Meli ecosystem, which is really essential to everyday life in some ways. But with the off marketplace data, Meli can now also spot when consumers are more cautious with their spending with unrelated merchants. And that's really crucial to doing better underwriting, which helps make credit cheaper overall and safer to offer. And then that can bring in more users and around and around the flywheel we go. There it is again, the flywheel. But this is actually something that we saw at an even more extreme level at Caspi where Caspi is so entrenched in the everyday life of people in Kazakhstan that the first loan they would pay back is always Caspi's because they can't afford to lose access because there you also talk about all these government services that basically run through the app. And you can see that in numbers when, for example, you're checking how many loans they would cover even after no payments have been made in 90 days. Usually that number is incredibly low. It has been quite high, at least relative for Caspi.

If Mali ever comes close to that, I think that would be the ultimate bull case. But that's unlikely given that I don't ever see them reaching super app status. And I also don't think they would need that. So the numbers already show how strong this second flavor is. For example, the marketplace sold about 22 billion of goods last quarter. Mercado Pargo processed about 101 billion of payments. So payment volume is more than four times the size of the marketplace. And Mercado Pargo has 88 million monthly active users. That's roughly the same. as the 89 million people who bought something on MercadoLibre in the last quarter. And again, we're always talking about all that growth. This one is growing 30% a year. So Fintech is already 43% of revenue excluding currency effects, and it grew even faster than commerce in each of the last three quarters. And that's why I don't think it's actually crazy to say that MercadoPago could one day, and maybe that day is not

even that far away, be bigger than MercadoLibre, the legacy business basically.

We've seen this before, by the way, PayPal was spun out of eBay in 2015 and the payments company ended up being far more valuable than the marketplace that created it. Now we see how their market cap slowly, unfortunately, go down and narrow in terms of the gap there. And then even Alibaba's Ant Group was said to have the largest IPO in history in 2020 before Chinese regulators pulled it. So I don't think Melly would ever spin off Mercado Parco. But then again, Sea Limited just announced plans to spin off money, which is their payments arm. So you never really know. I'm actually quite interested to hear what they will say about that going forward because to me, it makes sense to raise money to grow the book. But if they lose any of the synergies between the marketplace and the payments arm, I think that would be a big negative in my opinion. The difference with PayPal is obviously that Mercado Libre has this massive lending business and they lend to both consumers and merchants and the credit portfolio is growing fast. It was 16.5 billion at the end of June.

up 75% year over year. And in January, we said it had been compounding at 80 to 90% a year for five years, so it's still growing at similar rates, despite having this much bigger base. And in the second quarter alone, Mellie put 2.1 billion of new money into it. And you always want to be careful when credit portfolios are growing that fast, but especially so when it happens with South American consumers, where the market there just tends to be a bit riskier for lenders. The markets are definitely less stable and the lending business is called Mercado Creditor, just to say it once again. It's become a major profit driver for Melee, especially in recent years. It's not a new business unit. Melee first started underwriting loans in the mid-teens, I think it was 2016. Then they quickly followed up with consumer loans. They first started loaning money to merchants and then they went into consumer loan, which is how a lot of companies do it, also the ones that we covered. They basically have a track record already of lending money for about a decade. Merchant loans, again, a pretty safe bet to start off, which is why so many companies start out with them. Even Grab didn't, which is a company that we discussed in a prior episode. It was you actually who covered the company. And if you're a seller on Melly, and for example, you

need inventory for Black Friday, which is coming up, a bank would ask for collateral and probably years of tax returns before they would actually give you a loan. Melly, on the other hand, they know exactly how much that seller sold last Black Friday and how often customers actually come back, and then also how reliably they ship. So it can basically offer a short working capital loan, and then collect the repayment straight out of the seller's future sales on the platform because they go through Mercado Power. So the risk is pretty low because Mellie has the best information possible and also controls the cash flows. And basically that's how the loan gets repaid. The focus now is on the consumer side and credit cards though, is my understanding. They're almost half the entire lending book and Mellie keeps issuing.

effectively two and a half to maybe three million new credit cards each quarter, which is just insane. And as you said earlier, Mercado Pago is now the sixth largest credit card issuer in all of Brazil, which is a huge market. Sometimes the numbers are so big that I just have to Google if they actually make sense. Two and a half to three million credit cards per quarter. That's just an insane amount. But these are the numbers that a company like Mali can pull off because they just operate in one of the biggest markets. in the world, which is why we find that they have incredible tailwinds, which is why we like to invest in them. You just mentioned that with the shift, basically the mixed shift to credit cards, it's also the reason for why the margins have shifted and we will get to that. But the difference between the merchant loans and the consumer loans through credit cards is especially the time horizon. So a merchant loan is usually quite short, merely sees the merchant sales and it pays back within months. A credit card is obviously a sort of revolving.

the line to a consumer with a long tail. The only thing that Melly sees is that person's behavior. That's still a lot of data, more than a bank sees, but it's also a different kind of risk compared to these merchant loans. On the accounting and margin front, what changes is that when Mercado Pago issues a new card, it has to book the expected losses over the upcoming period for that card more or less on day one, while the interest income from the card comes in at a lag. If you grow a card book slowly, you would barely notice that. But if you grow it 90% a year, you're recognizing losses

on millions of cards that haven't earned anything yet. So basically, your reported profit looks worse the faster you grow it, even if every one of those cards is profitable over its lifetime, at least potentially. And Meli's cards are very profitable, we found once they mature. The card portfolio as a whole is still loss making.

Its net interest margin after losses was minus 2.5% last quarter versus roughly breakeven a year earlier because card issuance had accelerated. But management says a cohort of cards reaches breakeven within about 12 to 18 months. And as a result of the Q4 results, about three quarters of the Brazilian card book had already reached that point. And the estimates are that the card business will lose a bit less than 450 million. and operating profit this year. And that will break even by 2028 and then it should earn around 1.5 billion a year by the end of the decade. And obviously, that also depends on this continued growth on the credit card side of things. So, the bull case for credit really is that today's losses are tomorrow's profits, right? And the bear case is that those losses aren't just timing, but they're really structural issues for the business model. So how would you say we tell the difference between those two things? Well, what you usually do is you look at the loans that go bad, not the provisions, which is basically the money that is booked as losses upfront. So the metric is the nonperforming loan ratio, and you check two points in time usually. So there are loans that are 15 to 90 days late, and that's essentially your early warning sign. And then there are loans that are late more than 90 days, which in most of the cases, that means they're gone. So The 15 to 90 day ratio was about 7% in Q2, down from 8% in Q1, so there was slight improvement there. And then for CUT specifically, it's only about 4.5%, which the company says is close to an all-time low. So despite 75% growth, credit quality hasn't deteriorated, at least in the early buckets. And then the 90 day plus NPLs, they did move up slightly. So they went from 17.5% to 18.5%.

You also saw lost provisions for the Brazilian consumer go up earlier this year since Melly's stretch. And I think this is what we discussed in the latest update, the length of the personal loans from five months to eight months to reach new customers. And that already normalized in Q2, but it definitely does show that the book does react when they push into these new segments of customers. And they're really doing this at a pretty tricky moment,

honestly, according to Brazil Central Bank. Household delinquency hit 6% in August, which is up more than a percentage point in a year. And across the whole financial system, delinquency is at its highest level since 2011. So Melia is trying to grow its card book 90% year over year into what is really the worst Brazilian consumer credit environment we've seen in 15 years. But isn't it kind of reassuring how well they are holding up and also the fact that you can follow the numbers so well and just see how they change?

within just a quarter and what Melly can do to change and basically adjust to what the numbers are telling them. And maybe that's just me showing my confirmation bias here. Maybe it's a bigger risk than I portrayed as here. But up until now, the book has never been through an actual Brazilian recession of significant size, at least. And Melly does resolve heavily, as we just said. So the allowance for credit losses is 4.5 billion against 16.5 billion for the entire book. So more than a quarter of the portfolio is already set aside. for potential losses. And they're also adding lower risk product. So I do expect the book to get less risky over time, the more it's maturing basically. So in July, Mercado Pago started offering payroll loans to private sector workers in Brazil, where repayment basically comes straight out of the borrower's salary. And they signed, I think, 5,000 contracts in the pilot for just the first four days. And again, while Mercado Pago takes more risk per loan than, for example, another portfolio company of ours, which is Newbank, it does get paid roughly twice as much as Newbank. So the net interest margin after losses across the entire book was 21% in Q2, lower than the 23% a year ago because cards are having a bigger share of the book now, but it's still a very profitable lending business. Well, I'm still glad to hear that they're de-risking the portfolio from credit cards because I think I would rather have less margin with much less risk of a significant blowup occurring.

I'm with you on that. I think we discussed the sort of bad asymmetry of having such a finance business. So the less risk there is, the better it is for the business. Let's take a quick break and hear from today's sponsors. Early in my career, I was chipping away at student loans and it felt like it would never end. I'd make a payment, check the balance, and it barely moved. What finally changed my mindset was seeing a real finish line, a date I could actually circle on the calendar. That's what Monarch's Debt Paydown

Simulator gives you. It uses your real balances and payments to show your exact debt-free date. Then you can run different scenarios side by side, like adding an extra 100 a month, and instantly see how much sooner you'd be done. Watching that timeline shrink is really motivating, and you're the one in control of the plan. Plus, a quick check-in on your phone or laptop tells you exactly where your money stands. It's so important to manage your finances, and I believe Monarch can help you in doing so.

Write your own money story with Monarch. Use code WSB at Monarch.com to get your first year of Monarch Core half off at just 50. That's 50% off your first year at Monarch.com with code WSB. Interested in futures trading and looking for a place to get started? With Plus 500 Futures, you can explore some of the world's most active markets, all from one easy-to-use platform. Trade futures on popular assets like the S&P 500, NASDAQ, oil, gold, Bitcoin, Forex, and more. Whether markets are moving in crypto, commodities, or indices, there's always something to follow. Plus 500 Futures is designed to make trading straightforward with a platform you can access wherever you are right from your phone, and you can get started with a minimum deposit of just 10. Not ready to trade with real funds? Try the free unlimited demo account first and explore the platform without putting real money at risk.

Backed by nearly 20 years of experience and trust by millions of customers worldwide, Plus 500 gives you the tools to stay connected to the futures markets. Visit us.plus500.com to learn more. Trading in futures involves risk of loss and is not suitable for everyone. Not all applicants will qualify. Plus 500, it's trading with a plus. You don't need me to tell you that rent and mortgages are only getting more expensive. That's why Bilt created three credit cards designed to offer the richest rewards on rent, mortgage, and everything else you spend on. Whether you rent or own, you can earn up to 1.25x points on every housing payment without the transaction fee, no matter where you live. Points can be redeemed for flights, hotels, lift rides, a future housing payment, and much more.

turn one of the most unavoidable payments in your life into the most rewarding. Find the card that's right for you and apply at joinbuilt.com slash T-I-P. That's J-O-I-N-B-I-L-T dot com slash T-I-P. Use our link so they

know we sent you. Terms apply subject to approval and eligibility. Built cards are issued by column in A. member FDIC pursuant to license from MasterCard International Incorporated. All right, back to the show. Well, I think we're agreed on that. So let me ask you about just the competitive front. I mean, you also own Sea Limited as we talked about it. I take it you believe that Shopee, which is a subsidiary of Sea Limited, can be successful in its expansion in Brazil and South America too. Is that right?

Well, again, I bought C in the 70s per share. So I thought at that point, it was just an incredibly cheap stock. So I don't think you need Brazil to succeed in a way that they would actually replace Melly as the number one. I think that's definitely not my base case. It's not actually my bull case for C Limited or Sharpie, at least not in Brazil. So the good thing is, I'm saying this somewhat jokingly, that this is also an emotional hatch for me where Melly is a much larger position. So while I want C to perform well, if it doesn't, at least in Brazil, That means at least a competitor struggling. So jokes aside, I feel like C Limited keeps performing well fundamentally. And I do believe that the South American e-commerce market, and this is what we said in our original pitch, is probably big enough for two or three players. So it's expected to grow roughly 11% a year over the next decade, mostly driven by higher e-commerce penetration. As I said in the original episode, e-commerce penetration in Latin America is only 14 to 15%. In the US, you see that Roughly 25%. The UK is actually close to 30%. And China, unsurprisingly, is well above 30%. So usually I would say that you can't blindly compare such rates just across countries and even continents. But in this case, I believe Latin America and especially the big markets like Brazil, Argentina and Mexico, which are the biggest ones for MercadoLibre too, I think they have all that it takes to reach those levels of e-commerce penetration too. We're definitely seeing a wave of digitalization.

in all of those countries, especially in the financial system, which is why we like Mercado Libre and also New Bank. You have this really young and tech savvy generation in this part of the world. Countries like Brazil also have a lot of money by global standards. Brazil's GDP per capita is about 10,000 to 11,000 US dollars. And just for context, in many Southeast Asian countries, that number is closer to 5,000. So the average Brazilian, at least in GDP terms, is effectively twice as wealthy. And it took a while private

companies like Melly to build out the logistics and the payment systems to even enable e-commerce. So the infrastructure wasn't there as it was in the US and Europe. So obviously there was a time lag that they basically had to close. And that was a private sector, not the public sector. But we all say this basically to show that the market is big enough to have multiple players grow profitably for a long time. And that said, obviously the economics are better the more concentrated the market is. And the two competitors we're talking about, I think, especially when it comes to competing with Melly on the big scale are C Limited and Amazon, although I personally consider C to be the fiercest competitor. So for anyone who missed our C Limited episode that we also did, the short version is C Limited has three businesses. So they have Garina, which is a gaming company, and they have this one massive hit, which is called Free Fire. And that's an evergreen game that is their cash engine and also their engine to expanding into different and global markets.

Then you have Shopee, which, as you just alluded to, is the e-commerce marketplace of Sea Limited, which is especially dominant in Southeast Asia, but it has also expanded successfully into Brazil. And then you have Money, which is their fintech arm. So they basically compete with Melly in Brazil in e-commerce, fintech, and also in lending. The really impressive part is that they built a substantial logistics business and delivery network in Brazil in just a couple of years. And since Amazon, we've always had this belief that Logistics is a huge moat, but C really showed that, hey, with perfect execution and some investment, it can actually be recreated and copied much faster than most people would have thought possible. Sharpie definitely outperformed all the expectations I had for them just a couple of years ago. Also, as I said, you didn't have the same infrastructure as in the US. So basically you expected the moat to be an even bigger one, formally, because they had to build the logistics all by themselves. And now you had a player coming in that is using a lot of third parties.

and is basically creating a pretty good experience itself. And it's not easy to imagine how the two would coexist without constantly being a threat for each other. I hear a lot of Melee boards somewhat neglecting Sharpie as a player for mainly the lower end of the market because of Melee's GMV dominance. Melee's GMV is still about two and a half times higher than

Sharpie's GMV, despite Sharpie now being on par and even slightly ahead when it comes to the total amount of items sold in Brazil. I don't think you can view Sharpie as a low-end commerce place. I think they have already been successful at expanding into higher-end products in other markets through what they call Sharpie Mall. That's basically where they partner with these high-quality brands in all kinds of industries. Sharpie Mall has more than doubled in the first quarter and is now about 15% of Sharpie's Brazilian GMV. That obviously helped increase its average oil value in Brazil too, where Sharpie now signs deals with major electronic dealers in Brazil to offer more electronics on its side, which is a typical product. As we also discussed with some of these other companies that we looked at in the e-commerce space, it's a critical product to attract higher quality customers. And just like MercadoLibre, Shopee expanded into pharmacy after Brazil's health regulator lifted a 2022 ban. So licensed pharmacies can now sell medicines on platforms like Shopee and Mali. Well, so you can see how they're continuing to clone the Amazon Playbook, right? You can get prescriptions delivered through Amazon.

Surprisingly, that's the one thing I don't get delivered through Amazon, but Shopee at its own rate launched a loyalty program called Shopee VIP and it's priced at exactly the price of Mellie's basic tier, but it offers free shipping on orders above 10 Reis, while Mellie's free shipping starts at 19 Reis. For context, 10 Reis, the conversion rate on that is about two US dollars. So it's a five to one ratio, and that's a pretty attractive offering, which is why it has already gained a million users in just the last six months. For context though, Melly does not disclose its subscriber numbers, but estimates are around the 12 to 15 million range, and they're still growing 70% year over year. So I expect the gap to remain pretty material going forward. I'm not too worried about it.

I would be surprised if it closes meaningfully, but average order value is an important metric for me, at least, that I track to see whether Sharpie will gain significant share among higher-end customers in Brazil. Or better said, whether customers will choose Sharpie for those purchases in the future, because many customers are already using both apps. So they use Melee and they use Sharpie and then Melee usually for the high quality and the high trust product and Sharpie for the low IT of the market. But again, I

don't think that's where Sharpie has to be for the entirety of their presence in Brazil. What I do like is that Melee is not only trying to defend the upper market, but also the lower end of things. So they don't just lose those cuspers to Shopee and then sort of the innovator's dilemma where Shopee can start on the low end and slowly build scale and move up market to better challenge Mercado Libre. And while it costs them some margin right now to focus on the lower end, I think lowering the threshold for free shipping and these similar moves that they're making is really a great way for them to win market share and is correspondingly a great long-term investment as they try to fend off Shopee. It's definitely working. I mean, the Brazilian e-commerce market was estimated to be about 100 billion last year and Melly has about a 43% share in that market and Shopee has 18% and both actually grew three percentage points. So Shopee is not taking share from Melly, but mostly from legacy incumbents, just like Melly is.

They're not doing well at all. I mean, these new legacy players, you have Casas Bahia, which basically filed for a judicial recovery in August. And then you have another big player or what used to be a big player, Americanas, which whose online sales fell almost 70% last year. So Mellie also made a comeback in app users, which is important because more and more commerce is obviously moving to mobile. And that's where Sharpie is extremely strong. First of all, given its roots in mobile gaming. But then also because it's a Southeast Asian company and obviously e-commerce over there has basically skipped the desktop era entirely. So, Sharpie had more monthly active app users in Brazil than Mali just a year ago, which was about 120 million compared to Mali's 150 million. In the second quarter of this year, Mali was back ahead actually with 134 million against 130 million for Sharpie. So, Mali's user base significantly outgrew Sharpie, at least if we trust these estimates.

The reason it's so important that Meli keeps serving all customers is that Meli's biggest strength, in my opinion, is its ecosystem, which is becoming increasingly entrenched. So a customer finds a product on the marketplace, perhaps even through a Meli ad, then pays for it using Mercado Pago, and then potentially even getting credit from Mercado Credito. And then it gets delivered by Mercado Envios, which is Meli's logistics business. And then at some point, a customer is just so entrenched that it will be incredibly hard

for him to switch to a different marketplace at least. for these high quality products that matter. That's why it's also important for us to watch out for money spelled M-O-N-E-E, and that is another subsidiary of C Limited. If money were to grab share from Mercado Pago, I think that would be another warning sign. Definitely, but I think that's another huge market where technically both can coexist for a while. That said, I would probably see money gaining shares even more of a problem than Sharpie just because it would make the entrenchment theory much more difficult for Mali because by now, a huge differentiator is that people can go to Shopee to buy some of these products, but the entrenchment where you have the marketplace, you have the payments, and you have the credit, that's mostly happening on Mali for Brazilian customers. Fortunately, for the time being, Sea Limited's money business is not really even close to rivaling Pago or Credito. Shopee hasn't launched a credit card in Brazil, even though they have the license to do so.

Its main credit product is still the shoppy pay later, sort of the buy now pay later at checkout product, which accounts for about 10% of its Brazilian gross merchandise value. And those loans have an average term of about three months and carry interest of almost 10% a month. And we're also starting to see delinquencies take up. Last time you said you'd be very surprised if C could hold its non-performing loans at 1% of their total. So C's group-wide 90-day number is still 1% for now. But in Brazil specifically, the funds that hold Shopee's loans show 90-day delinquencies up to about 3% in a little over a year. And the more they expand that loan book, especially into categories outside of buy now, pay later, the more we should expect that number to go up. I'm pretty confident the trend will continue. And it's more of a mechanical thing in the end. So the loan book is growing so fast, just as it is for Mali, that Some bad loans are simply not yet accounted for in the 90-day number, so there's a time lag, once again, between when they actually go bad and then when it shows up. See, it doesn't disclose 15 to 90-day NPLs, as Mellie does, so you don't see that number going up any time before the 90 days where we actually get the new number. We should emphasize again, officially, the NPLs of money are still at 1%, not 3%. But money is generally still more of a digital wallet, whereas Paro has obviously evolved into much more than that.

That's why money has only an estimated one to two million active credit users in Brazil, whereas Mali has more than 22 million. Do you have any updates on C's logistics network compared to Mali? Because I heard that C had expanded its footprint quite significantly and they had something like 16 distribution centers at the start of this year, but built another 10 in the last 12 months. And five of those are fulfillment centers. Is that all right? And how does that frame the competition here? That's correct. And we should clarify that's just in Brazil, obviously. And the CFO said the goal is to eventually have a bigger fulfillment network than its competitors in absolute volume. Obviously, he's talking about Melly in that term. And he said that might take a few years. I doubt they will get there, but it definitely means they're not planning on stopping spending money. You say you'll doubt they'll get there because we're talking about a pretty big gap between themselves, right? Yes, a very big gap. So Melly lease is about 3 million square meters of warehouse space in Brazil.

and Sharpie about 1 million. So Mellie pays about almost 100 million Rears a month in rent, Sharpie about 33 million. So Mellie's network is still roughly two and a half to three times bigger than Sharpie's and Mellie will spend another 57 billion in Brazil this year alone, including 14 new fulfillment centers, which is why I'm saying I don't see the gap closing anytime soon. And when you say lease, it's really just about warehouses there. Both companies lease their warehouses to keep them less capital intensive and the real difference is in how much of the delivery network each one controls. And so, Melly runs its last mile through dedicated carriers, where it is usually the main or only customer. And its new one-hour delivery in Sao Paulo runs through its own network. And so, Shopee's delivery arm, on the other hand, handles most of its orders, but it does crowdsource drivers and its four-hour service runs through basically these partner stores.

So, Meli has tighter control over speed and reliability, but Shopee has a cheaper, looser network to maintain. And before we go any further, is there anything about Amazon that we should talk about? Because basically, Amazon is a competitor in Latin America, not nearly as dominant as it is in the US, but Amazon will seemingly be there to compete more directly with Meli for the highest quality tier of customers in e-commerce. I think a

couple of years ago, basically before Sharpie showed up, most investors were concerned about Amazon, yes, but I think now we could say that still not too much has changed. In 2025, Amazon invested close to 20 billion reais in Brazil, which was about five times its average annual investment there since it entered the country. So it's expanded its logistics primarily, launched an ultra-fast delivery service and also ran a campaign at the beginning of this year, letting new sellers join without paying any commissions.

Share wise though, that didn't seem to move the needle because Amazon is still sitting at the same 11% of market share that it did last year, while Mellie and Sharpie, again, both grew 3 percentage points. So just for context, 20 billion raise is a lot of money, but Mellie invests three times that this year. So Mexico is probably the market where it's a closer fight. Amazon's Mexican network is about 30 times bigger than when it started and reaches more than 500 cities and Mexico is where Mellie's common growth actually slowed this year, which we will get to later. But management is saying that it's still growing faster than its competitor, which in this case, Mellie is referring to Amazon. And the slowdown had more to do with the tax reform and the weak consumer overall than with competition of Amazon. If you were to have to summarize how you currently view the dynamic between Mellie and its competitors, what would be the best way for you to do that? Well, I think we hype up Mellie.

so much that I also want to be very honest, even though some Melee bulls might not want to hear that, more competition is never good. And Shopee has clearly been more competition than I assume anyone would have thought when they entered Brazil. And as Manga once said, we have found in a long life that one competitor is frequently enough to ruin a business. So I don't think this will be the case here. Otherwise, obviously we wouldn't be invested in the stock, but I don't believe either that Melee will ever be without a competent competitor again. And that has been the case for many, many years. before Sharpie and some of these other competitors entered the market. So the question is, what does that mean for the mature margins of the business? I think that's a question any fundamental investor in Melee is asking themselves. And what has really happened here to current margins is it's been a downward slope from 12% to a little less than 7%. And that's the

lowest margins have hit in four years. And now it seems you really have two camps of investors and how they think about things. And so one camp, says, hey, look, Mellie will never get back to 12% margins because it now faces its most intense competition yet and competition is only going to intensify. And so that's one perspective. And then the other camp compares these investments to say what Amazon was doing in the US in the early 2000s, where short-term investments resulted in an even stronger moat and thus even more earnings power and margin potential in the long-term.

even if short-term margins are compressed by that reinvestment spending. And what underlines that view is really how successful these investments have been at acquiring new customers and improving usage among long-term customers. And Mellie posted its fastest revenue growth in four years, up 50%. And then it posted its first quarter above 10 billion in revenue. Stig Brodersen It's definitely incredible just at this scale, how fast the business is still growing. And I know we all wanted definite answer to this question of where margins will be. I also know many pretend they have it. I admit that I don't. I can only look at the facts, then compare things to, for example, Amazon back then with their investment cycle, and then add the knowledge that I hope I've gained after looking at all the Asian e-commerce players and how they typically operate. I think people often forget that things seem obvious after the fact. When Amazon started reinvesting massively in its business, The majority of the market believed Amazon simply had an unprofitable business model, and they faced all the same criticism Mellie does today, even more so since the model back then was completely unproven. It's also important to know that Amazon operated in the strongest and most advanced e-commerce market in the world, so they were able to reach a monopoly-like position before any competitor was actually able to recreate something similar, and that's not Mellie's situation. Although the market share numbers would actually look quite similar, I think a major difference in the US is that you have competitors like Walmart and Target that people don't consider typical e-commerce competition, but ultimately a sale that goes to Walmart can go to Amazon. So the big question for Mali is whether Brazil, Argentina, and eventually also Mexico will look more like the US and Europe or more like China with multiple major players and much more dynamic competition generally. Let's take a quick break and hear from today's sponsors.

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The talks were great, but what I kept thinking about is what happened around them. On Friday night, about 20 of us crowded around a long table at a family-style Italian spot near Times Square. Saturday, we did it again. And Sunday morning, a group of us were still debating Socrates over breakfast before everyone headed home. Many of the people at those tables had only known each other from our calls in the Mastermind community. That is the community I host with Kyle Grieve and Daniel Manka. Each

week we get together on live calls to dig into markets and individual businesses. We bring in fund managers, operators, and authors as guest speakers. And a few times a year, like New York this fall and Omaha every spring, we meet in person. If you want to think in decades alongside people who do the same, apply for free at theinvestorspodcast.com slash mastermind. If your application stands out, I'll be the one to reach out to you personally. All right, back to the show.

To me, the former seems probably more likely. While there's still plenty of room to grow, Brazil is not some young market that could still go in any direction by any means. And then it's hard to imagine where all the other competitors are really supposed to come from and what role they would serve that's not yet being catered to. And as you mentioned, there's also a real political incentive here, especially now with Flavio Bolsonaro likely taking office. to help South American companies succeed instead of flooding the market with Chinese players and their products. If you compare the characteristics one to one, it seems definitely more likely that Buziga would end up with a US-like structure. So on logistics, for example, the reason new e-commerce players in China could expand so quickly is that the third-party carrier infrastructure is so incredibly good. So the so-called Tongda franchise plus carriers like JNT, they move more than 70% of China's parcels at incredibly low prices. In Brazil, on the other hand, an entrant needs to build the entire infrastructure itself. For payments, many problems are now solved, but Mercado Pago still had the first move advantage. Then if you compare that to the US, you had neutral card networks, which is why no competitor could use payments as a weapon or at least major advantage against the competition. Then in China, you have a duopoly outside the marketplaces with Alipay and WeChat.

Tencent's RAIL basically powered Alibaba's challenges like Pinduoduo and Douyin. So all of this could be an important differentiator because Mercado Power is already highly dominant and it's owned by Mali, obviously, which opens up all sorts of ecosystem benefits and the same goes for credit. Amazon never had a landing book and in China, this space is much more regulated since Ant Financial. So this is the sort of advantage that is pretty unique to Mali. I'm going to show my ignorance here on payments again, but my understanding is that there's a government-led payment network

called PIX, P-I-X. Is that something that could cause any pressure on Mercado Pago's business or are they doing different things? How much overlap is there? Yes and no is the short answer. I would say that it could be a problem, but also there are a couple of benefits that Pago actually has because of PIX. For example, the more benefits for Mercado Pago customers are in the app, especially when they use Mali, the more sense it makes for customers to use Pago to pay. So I think I'd rather have a government created PIX as a competitor than an alternative created by a competitor. So PIX is a problem, but it doesn't do any lending. It's only a rail for basically payments to go through. And that's not where most of the value is coming from with Mercado Pago and Creditor. And so another difference from when Amazon built its e-commerce business is that the barriers to entry have come down since platforms like TikTok have been able to expand into the space and customers no longer have to come through product search, but you can actually have hundreds of millions of people find their way through social media, which clearly makes it easier to spawn an e-commerce business out of nothing, especially when that delivery infrastructure is already effectively in place.

Which I should say is only partly the case in South America. We also need to consider obviously the massive size difference between countries like Brazil and China. So for example, China's physical goods e-commerce is about 1.8 trillion and an industry-wide GMB margin of 2%. That would mean there's a profit pool of roughly 36 billion a year. So I would personally say that's enough to have four players fight for that pool. And then even in the US, the market is 1.2 trillion. So if you compare that, Brazil's market is only estimated to be 60 to 80 billion dollars. Depending on the definition of GMV, it could also be slightly higher. So it's obviously growing fast, but for players currently getting into Brazil, they would need to spend billions of dollars while, mathematically, not being able to make any profits because the market is just not big enough yet. So most public companies, I would assume, don't want to burn through billions of dollars for years to potentially open up a new market that is far away from their core market, which is true for basically all of the global e-commerce players not yet in Brazil, especially when you already have a dominant and well-executing player like Melly in the market, and also a player like Sharpie who is catering to the lower end of the market. Just to get back to the

margin story, I think the reason that margins are down supports the thesis that it's not really all competitive pressure. I mean, sure, Melly wouldn't need to spend all that money if Sharpie didn't exist, but we don't see price wars happening where��? either one of them are really significantly cutting their take rates. And actually, Shopee has been raising seller fees for a while now. And so, if you want to enter a price war to take market share, it's really the opposite of what you would want to do. And so, the margin compression really is coming from investments and credit and free shipping, and then, of course, expanding logistics, but not from cutting their take rates to undermine each other. Stig Brodersen Booking the provisions, which is what we talked about before for the loans, is actually the biggest part of the margin compression. And that has nothing to do with Sharpie or competitive pressure. So in Q1, that alone cost four percentage points of operating margin. And then in Q2 was slightly lower, but it was still two percentage points. So the biggest impact after that is free shipping. And that's definitely a reaction to Sharpie. And while it's expensive, I think it's a classic Amazon move to take market share. And it worked pretty well. So Mellu was outgoing Sharpie, despite the much larger base. And I should also note that they have done that before, even before Sharpie existed.

From time to time, they have lowered the free shipping threshold because it's a fantastic way to get new people into the ecosystem. And then another part of the Amazon playbook is the investments into first party retail, where Melly basically buys inventory and then sells it itself instead of just taking a fee from a third party offering their products on the marketplace. And that's about 5 billion of sales a year, now growing 70 to 80%. And the CFO actually said it's still not profitable on its own once you allocate corporate costs. Melly does this to win high quality categories where selection was thin before. And for example, we're talking whenever that's the case, it's now a leader in cell phones in Brazil with three times the share that it only had three years ago. So it's definitely working. It's expensive for now, but that's how you grow the business. Those are really exactly the type of categories you want to win to keep the high spenders on the platform. But unlike Shopee, Melly has lowered some seller fees, right?

and it added discounts for buyers who pay with picks, which is a bit of a counter-intuitive thing to do, at least as it seems to me at first. Isn't that

preventing more of its customers from using Mercado Pago to pay or using Melly's credit cards and promoting an alternative? It is. It's essentially a bet on acquiring customers cheaply and then turning them into long-term Mercado Libre and eventually Mercado Pago customers, and that's where you make the money. The idea is that they will still pay through Mercado Pago, but you can use PIX through Mercado Pago, which in that case is just your digital wallet. So it's not as straightforward, but you can imagine that, for example, you would use PayPal, go into your wallet, and then you use a local credit rail, which in this case is PIX to send the money. So that means that PayPal is not making any money on this case. Mercado Pago is not making any money with the transaction, but you still have the customer in your wallet. So eventually you might be able to make money with them in any other way.

Mellie, again, doesn't earn transaction fees, but if you can make money, for example, from the customer funds, that's still a plus. And as mentioned, perhaps eventually they will turn into customers that have credit cards for Mellie. So that's basically how you make the money back. But as you said, it's a trade off, right? If you use PIX and you don't pay any money, most likely you will not switch from that. And then the bet is that you make money with them in a different way. So to me, this seems like a smart investment in the long term, especially because PIX will not go away. And I don't think you'll make a lot of money with these simple pay through Mercado wallet anyway, that's basically the pretty legacy business model of PayPal that is clearly not working anymore, especially in a world and in a country where PIX exists. So, Melly delivers value on the credit side, BNPL, credit cards, payback, and so forth. To just name some of the results of Melly's investment cycle recently that go beyond revenue growth, due to more volume, you have the cost of shipping one package in Brazil actually fall 11% in Q4.

and 17% in Q1 and local currency, while volume was up more than 50%. And the more packages you get through this system, the more efficient the operation gets. And Mellie set some price ranges below about 80 Reyes, which is the free shipping threshold for non-Mellie plus subscribers are already at breakeven. And you also see that more people start building a habit around ordering at these levels. conversion in Brazil, meaning the

share of visits that end in a purchase is up about 1.1 percentage points and has stayed there for a full year. Purchase frequency is up around 20%, while daily active users have grown faster than monthly active users in every quarter since the cut, which tells you that the app is becoming part of people's routine and not just a routine, their daily routine. Meli Plus subscribers, as mentioned, are up 72% year-over-year, so Really, the numbers on all fronts look really good. And it actually shows you how the scale economies shared model works. Because for the longest time, when Melly was going down with the free shipping threshold, they lost money on those packages. And now they have so much more volume that they basically start to make money or at least break even on the free shipping threshold. So you can imagine that the more volume goes through their logistics system, in some years time, they can lower the threshold again, and they don't lose money on that. Whereas Sharpie, for example, they have to pay up for lowering the free shipping threshold because for them, it's not profitable because you don't yet have the volume. Although I should say that part of the advantage of Shopee is that if you're in these lower term, lower quality goods, you send a lot of volume through your system. So that's why they can also have these low free shipping thresholds. But again, I also want to emphasize that you don't even need Mali to have a highly profitable e-commerce business. The fact that Mali had one for such a long time was an outlier if you compare it to any global player. Amazon's e-commerce business, for example, was always a low margin business. They make money through ads and AWS and Mellie's ads business is still growing fast. And instead of AWS, they obviously have Mercado Pago and that business again earns roughly 20% margins after credit losses on its book. And it's already 43% revenue. It grows faster than commerce. So, you know, I think that's a very good outlook for Mellie in the next couple of years. And in a competitive market, I think it's fine for the commerce side to basically run at a thin margin. If that's what keeps 90 million buyers in the ecosystem. And as long as the fintech side actually earns the profits on those same customers. So, Shopee can match Mellie on shipping, but it's much harder to match it on credit. So, the most important thing is to build the credit business responsibly so it doesn't blow up in bad times, which always comes at some point. Okay. Well, why don't we bring it all together? Is there anything that has changed about the valuation since we last looked

at Mellie? I would assume it's mostly unchanged, but perhaps you can just walk us through the assumptions again that you use in your model.

to help explain why we decided to add Mellie to our portfolio in the first place and then add to it more in our portfolio review live stream. And so it's been a lot of fun to be able to take our normal portfolio conversations that would just be in a kind of a meeting with me and you and Kyle and turn them into live streams on YouTube where we can get feedback from listeners in real time. So if you haven't checked that out, you can go to the Intrinsic Value Podcast on YouTube. and you'll find our archive of live streams and some of the recent portfolio discussions we've had. It is a lot of fun and we mostly stream on Wednesdays, but sometimes the days alternate. So you can go to our community tab. Often we do announce when exactly we'll stream and also the time right there. So for everyone interested, tune in and get into the evaluation. I did update my Melee model with the newest numbers and Some slight adjustments for growth and the margin estimates, not dramatic though. So the difficult thing generally about forecasting the next few years is that it basically entirely depends on what strategy Mali takes. So in my model, I assume the massive investments that we currently see will be scaled back year by year, which causes revenue obviously to grow slightly slower, but margins to take up again. So given management comments, they might keep investing for a while and I can't blame them seeing how much they grow. Not only the headline numbers, but as you just showed us, also the numbers that actually show how entrenched the new customers basically become in the Mali ecosystem. And it's only smart to keep that momentum going, even if markets don't like the investments. And especially when competitors like C Limited are currently getting punished even harder for their investment cycle by the market, because likely they will stop at some point. And if you keep investing, the benefits of that will be even larger.

To put it all in numbers, I have 2026 revenue going up another mind boggling 45% to over 40 billion. But then it slows down starting in 2027 with commerce going 25% and fintech 32%. Then from there, commerce and fintech both decelerate a couple of percentage points per year. And again, this will basically assume investments will be scaled back. And because of that, the operating margin that currently stands at only 7% will

creep higher again, reaching 13 to 14% by the end of the decade. which sounds like a lot, but it was 12% just two years ago. That's a pretty hefty earnings growth there, about 177 in earnings per share projection for 2030. And today, we stand at 40. But I think that's really not that crazy to predict. And it's just the kind of thing that happens when you have a company with the growth track record and the growth runway that Melly has, and they're sort of relentlessly reinvesting.

back into the business and harvesting the fruits of what they currently make to keep spinning that flywheel that we've been talking about. And just a reminder for listeners, Melly is the only company ever at significant size that was able to grow 30% or more for 30 consecutive quarters straight. So these growth numbers are really more attainable and reasonable and actually maybe even conservative than it might seem at first. And actually, it would imply that they're going to break their streak of 30% plus growth sometime next year. And really the bigger question for me is on the margin front, but looking at your model, you've got Mercado Pago growing to be the same size as the commerce business by 2030, meaning the higher margin part of the company will actually grow the fastest, which would be another tailwind for businesses overall profitability and for earnings growth.

Mellie definitely is a margin story right now. Assuming a mid-20s multiple and a 10% discount rate, the fair value based on the above estimates is close to 3,000 with a 20% margin of safety, which is what we usually have in the N24 model, you would get to 2,400. But then again, these models always are based on the timeline and our assumptions for the timeline. And this model assumes that the investment slows down in the next one to three years, which might not be the case. I own Mellie not because I believe that in the next five years there will get significantly better or improved margins. I believe this will simply be a better and bigger business in 10 years time. I don't think you need to be able to forecast the next year or even the next three years. Just have an idea in mind of what growth should roughly look like and what the mature margin is. With those numbers that I have in mind, I think Mellie looks incredibly attractive here, especially the longer you look out. I think both camps.

in the margin debate may actually be arguing about the wrong number. Of the five points of margin that Mellie gave up, the biggest piece is this day one loss provisioning on credit cards, which is really an accounting timing issue more than anything and not due to competition from Shopee. The free shipping piece is a competitive response, but it's also one that's working pretty well where conversion is up, frequency is up, cost per package is falling, and Mellie has grown faster than Shopee. while off of a bigger base, sort of define the law of large numbers. And the thing that would actually scare me would be if we saw any take rate cuts, and we haven't seen those. And Shopee, as we've mentioned, is raising seller fees, and that's not what happens in a price war. You don't have companies increasing take rates when they're trying to undercut each other. And commerce really can run at a thin margin forever, as long as it keeps 90 million buyers inside the Mellie ecosystem.

because the fintech side of things is where the profits come from. And you can almost say that the commerce side of the business is just a vehicle for facilitating the fintech part of it, whether that's with the credit card lending or the payment processing. And so it's already 43% of revenue at the fintech businesses and it's growing faster than commerce and it earns 20% after credit losses. And having that loyal ecosystem of customers obviously also creates huge advertising opportunities too. as we've seen Amazon prove, they've become one of the biggest advertising marketplaces in the world. And so the credit book is probably the one thing that gives me some pause and maybe some anxiety, especially when you pair it with the position that we have with our existing second new bank, making us pretty highly leveraged to the Latin American market and more specifically the Latin American consumer at a minimum. And that will make for a volatile ride, if history is any guide, but I do love the idea of owning great companies and to be cliche, just letting them do their thing. We talk a lot about hurdle rates and trying to find investment opportunities that can clear a 12% rate of return for us over a several-year period. I feel pretty confident that with Mellie's growth prospects and then at the price we're buying into at this moment, which is an outrageous valuation given the growth, I feel pretty good that it can meet our IRR hurdle.

requirement. That's the bet we're taking, right? Like owning a great company and then just letting them do their thing. When I was still doing my research, Betsy asked me whether we should also cover the political debate currently going on in Brazil with all the elections. And I looked at the Brazilian elections and what the win of either Bolsonaro or Lula could mean for Mali, New Bank and so forth. But to be honest, both candidates don't seem to be highly popular. And I can see why when I look into what the program actually is and why the atmosphere towards businesses in general might be better on the world scenario. I don't feel comfortable at all predicting any outcome and not only for the election itself, but also for what a win of either of them would actually mean for the Brazilian economy going forward. And ultimately, I think I take comfort in the fact that Melly performed phenomenally under the presidency of left leaning candidates and then also under the presidency of right leaning candidates. And not only in Brazil, but in basically all of Latin America. And as we worked out in our original episode, Meli works the way it does today because they were able to make a strength out of the shortcomings of Latin American politics. We talked about some markets that were basically completely gone and how they have these logistic networks that are not as capital intense because they never know what happens to a specific market. And as you just said, the idea is to own a phenomenally run business with a strong flywheel and lots of runway. And if I believe the president of Brazil would make a significant difference, honestly, wouldn't even want to be invested in Meli anyway, or Newbank for that matter. And with that, if you have nothing to add to the politics of Brazil, let me close it for today with a quote by Meli founder Marcos Galperin. And basically on that exact topic where he said, quote, unfortunately, the stereotypes about that market are true. Infrastructure is not as developed. Regulations are backward. Regulators are just trying to optimize for themselves, not for the people. And it's a very volatile environment.

All of a sudden, you have elections and then a new government comes in and changes everything. So with Mellie's management team being aware of that, I feel quite confident that they can manage that quite well. And I think that's all we have to say with that. Have a great day and see you in the next one. Thanks for listening to TIP. Follow the Investors Podcast on your favorite podcast app and visit the investorspodcast.com for show notes and

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